

Saudi Banking Sector Review: Second Quarter 2026

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Aggregate performance

The ten listed Saudi banks reported combined second quarter 2026 net profit of SAR 24.87 billion, equivalent to approximately USD 6.63 billion, an increase of 12.5 percent year on year. The ten institutions are Saudi National Bank, Al Rajhi Bank, Riyadh Bank, Saudi Awwal Bank, Banque Saudi Fransi, Arab National Bank, Alinma Bank, Bank Albilad, Saudi Investment Bank and Bank Aljazira. Al Rajhi Bank remained the most profitable institution with SAR 7.01 billion. Some data providers cite growth of 8.2 percent from a different base of SAR 22.98 billion; the difference is methodological and readers should note which basis is being referenced.

Margins and funding

Sector net interest margin was approximately 2.96 percent in the second quarter, an improvement of about 5 basis points year on year, following approximately 2.84 percent in the first quarter. Cost of funds eased to approximately 3.2 percent. Return on assets was approximately 2 percent and return on equity approximately 14.7 percent across the sector.

Liquidity dynamics

Deposits outpaced loan growth for a second consecutive quarter. Net loans rose 7 percent year on year to SAR 3.25 trillion while deposits increased 9 percent to SAR 3.15 trillion. The system loan to deposit ratio stands at approximately 103 to 104 percent, a level that has kept deposit competition intense across the sector.

Growth guidance

Multiple institutions revised financing growth guidance downward during the reporting season. Al Rajhi Bank moved to low single digit growth, Saudi National Bank to mid single digit, and Riyadh Bank to a mid to high single digit range. Sector loan growth of approximately 7.8 percent is forecast for 2026 by some sell-side estimates.

Mortgage market

New mortgage originations totalled SAR 91.1 billion in 2024, an increase of 17.1 percent, before falling 11.7 percent to SAR 80.4 billion in 2025. Structural support remains in place through Sakani programme reforms, which lowered the subsidy eligibility age from 25 to 20, the non-Saudi real estate ownership law effective January 2026, and the first residential mortgage backed securitisation executed via the Saudi Real Estate Refinance Company.

Rates and capital

The Saudi Central Bank has followed the Federal Reserve into an easing cycle. The countercyclical capital buffer rose to 1 percent in May 2026. Sector capital adequacy remains robust at approximately 20 percent. Sector valuations stood at approximately 10.8 times earnings and 1.6 times tangible book value as at the first quarter of 2026.

Outlook

The sector enters the second half of 2026 with strong capital, improving cost efficiency and easing funding costs, set against decelerating loan growth and rising provisioning. Margin direction through the remainder of the easing cycle is the principal variable for earnings.

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